

PHOTO BY ANI



TAKING THE LEAD Finance Minister Nirmala Sitharaman with N.K. Singh, former chairman of the 15th Finance Commission

group [to focus on that]. And we have been able to give a report which is a triple mandate—in addition to poverty issues and shared prosperity, we now have the issue of global challenges... That is why, in our recommendations, we have suggested that what is needed is roughly \$3 trillion a year, between now and the end of this decade... \$2 trillion will come from a country's own domestic resource mobilisation; [of] the \$1 trillion, half will come from private capital, and half from significantly enhanced concessional and non-concessional forms.

▶▶▶

Professor Summers, you've said India can achieve eight-fold growth by the middle of the century. What does it need to do to achieve that?

LS: India needs to be lucky in there being a successful, growing, peaceful, [and] safe global economy, because it won't achieve that growth without the global environment being congenial. India needs to have reforms in key sectors: in agriculture with respect to aspects of the tax system; in the banking system on issues having to do with regional governments and national governments and

their relationship. Third, India needs to continue to be more open to the world... And the last thing is—and this is where there's probably been the greatest progress—a government focussed on providing platforms for prosperity.

▶▶▶

Mr Singh, what does India organising and achieving a consensus at the G20 Summit represent for the country and what should young Indians take away from it?

NKS: I think several things. First, a feeling of satisfaction that the economic changes and liberalisation which began 30 years ago have only gathered momentum... Second, it has [shown that]... political stability and a leadership with abiding faith in the overall macroeconomic framework will bring about a much greater recognition in a world beset with uncertainties. And third, that India can do it. **BT**

@szarabi

(The interview took place prior to the G20 Finance Ministers and Central Bank Governors meeting on October 12-13 at Marrakesh, which welcomed the panel's reports and reiterated the need for MDB reforms)

a growing consensus that the mandate of the MDBs needs to be reviewed in light of changing global priorities, including climate finance, meeting sustainable development goals (SDGs) by 2030, and the eradication of extreme poverty. Under-representation of the Global South and the need for more financing to meet these goals are other pressing needs.

Noted economist Jeffrey D. Sachs, Director of the Center for Sustainable Development at Columbia University, sums up these challenges. "The MDBs together lend about \$100 billion annually, which is just one-tenth of the world output. As many as 79 of the 82 low-income countries in the world are below investment grade and so capital doesn't flow into them," he said at a recent webinar organised by New Delhi-based think tank Research and Information System for Developing Countries.

The G20 Summit in New Delhi in September saw leaders reach a consensus that the 21st century requires an international development finance system that can address the shocks facing developing nations, in particular the poorest and the most vulnerable. They also welcomed efforts of the Independent Expert Group (IEG) on Strengthening MDBs in preparing Volume 1 of the report and said they looked forward to examining it in conjunction with Volume 2, which was released in October.

AN AGENDA FOR GROWTH

Volume 1 of the report by IEG—that is co-chaired by N.K. Singh, former chairman of the 15th Finance Commission of India; and Lawrence Summers, President Emeritus, Harvard University—pegs an estimated additional spending of